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Ram Chandra Singh v. Savitri Devi And Others

Supreme Court Of India (Oct 9, 2003)

CASE NO.

Civil Appeals No. 8216 of 2003 with No. 8217 of 20031, decided on October 9, 2003

DISPOSITION

ALLOWED

JUDGES

- Justice V.N. Khare
- Justice S.B. Sinha

ATTORNEY

- Dr G.C Bharuka, Senior Advocate (Sanjiv Goel, Devashish Bharuka, B.K Satija, S.B Upadhyay, R.S Dwivedi, Ajay Kumar, S.R Setia, Ajay Choudhary, Amit Kumar, Ram Lal Roy and R.N Keswani, Advocates, with him) for the appearing parties.

SUMMARY**Factual and Procedural Background**

Respondent 2 (Arun Prakash Pandey, “the mortgagor”) mortgaged 95.20 acres of land to secure a loan from the State Bank of India (SBI) and defaulted. SBI obtained a preliminary mortgage decree on 22-6-1981 for ₹ 1,15,312.62 with interest, and a final decree for sale on 4-8-1982 (Suit No. 88/9 of 1977-80). Pending the mortgagor’s appeal, no stay operated; at SBI’s instance 30 acres were sold in court auction on 7-6-1988, the appellant being the highest bidder. Sale was confirmed on 7-7-1988 and possession delivered on 11-12-1990.

The mortgagor’s sisters, relying on a 1979 preliminary decree in Partition Suit No. 17 of 1976 (where they claimed 6-anna shares), challenged the auction under Section 47 CPC. Their objection was dismissed on 27-8-1988, but the High Court, in Revision No. 1700 of 1990, set aside the auction on 21-5-1992 and suggested the appellant seek partition or approach the partition suit. The appellant’s SLP was withdrawn (25-6-1992).

Subsequently, the appellant:

- Filed Title Suit No. 4 of 1994 to annul the 1979 partition decree and the High Court's 1992 order.
- Moved in Partition Suit No. 17 of 1976 alleging the 1979 preliminary decree was fraudulent because the mortgagor's father had died in 1944 (prior to the Hindu Succession Act, 1956), leaving the son as sole heir. The partition court accepted this contention and dropped the final-decree proceedings.
- Faced a High Court civil revision that reversed this order (judgment dated 10-12-1998).
- Sought review of the High Court's earlier appellate order of 22-5-1998 that, by consent, allowed the mortgagor to pay SBI in instalments without disclosing the confirmed auction sale. Review was dismissed on 10-5-1999.

The present appeals challenge both High Court orders (10-12-1998 and 10-5-1999).

Legal Issues Presented

1. Whether decrees and orders obtained by suppressing material facts and practising *fraud* on the court are void and can be set aside despite earlier confirmations or withdrawals of challenges.
2. Whether the partition preliminary decree of 1979 and consequential proceedings were fraudulent, rendering subsequent High Court orders unsustainable.
3. Whether a consent order in appellate proceedings can extinguish third-party rights (the auction-purchaser's) created and confirmed earlier by the executing court.
4. Whether the High Court erred in refusing to review its consent order in light of the confirmed auction sale and allegations of *fraud*.

Arguments of the Parties

Appellant's Arguments

- The partition decree of 1979 was collusive and fraudulent; the sisters had no hereditary rights because their father died in 1944, prior to the Hindu Succession Act.
- The auction purchaser obtained valid and confirmed title; subsequent High Court interference was illegal and cannot prejudice him.
- The High Court's 22-5-1998 consent order ignored the auction sale and was induced by suppression; hence it is a nullity and review ought to have been allowed.
- Court mistakes should not harm an innocent purchaser; any equity must protect the bidder who spent additional sums to develop the land.

Respondents' Arguments

- The appellant did not appeal the High Court’s consent decree; the auction having been set aside in 1992 and the SLP withdrawn, review was barred.
- Respondents have already complied with the consent order by depositing the decretal amount; equitable considerations militate against reopening settled issues.

Table of Precedents Cited

Precedent	Rule or Principle Cited For	Application by the Court
Derry v. Peek (1889) 14 AC 337	Definition of actual <i>fraud</i> ; false representation knowingly or recklessly made.	Cited to explain essential elements of <i>fraud</i> that vitiate judicial acts.
Slim v. Croucher (1860) 1 De GF & J 518	Representation is fraudulent where the maker ought to have known it was false.	Used to reinforce that <i>fraud</i> includes reckless misstatements.
Ram Preeti Yadav v. U.P. Board (2003) 8 SCC 311	“ <i>Fraud</i> unravels everything”; courts cannot allow advantages obtained by <i>fraud</i> .	Relied on to justify nullifying orders tainted by <i>fraud</i> .
Lazarus Estates Ltd. v. Beasley (1956) 1 All ER 341	No court will allow a person to retain an advantage obtained by <i>fraud</i> .	Quoted to support setting aside all transactions founded on <i>fraud</i> .
S.P. Chengalvaraya Naidu v. Jagannath (1994) 1 SCC 1	<i>Fraud</i> avoids all judicial acts; litigant must come with clean hands.	Invoked to stress that finality cannot be an engine of <i>fraud</i> .
Shrisht Dhawan v. Shaw Brothers (1992) 1 SCC 534	<i>Fraud</i> and collusion vitiate even the most solemn proceedings.	Supports power to annul fraudulent decrees.
Indian Bank v. Satyam Fibres (1996) 5 SCC 550	Court’s inherent power (s.151 CPC) to recall orders obtained by <i>fraud</i> .	Forms basis for holding that High Court could set aside fraudulent decrees.
Chittaranjan Das v. Durgapore	Suppression of material	Cited to categorise

Project Ltd. (1995) 2 Cal LJ 388	documents amounts to <i>fraud</i> .	concealment of auction sale as <i>fraud</i> .
Manohar Lal Chopra v. Rai Bahadur Seth Hiralal AIR 1962 SC 527	Civil courts have inherent powers to act for ends of justice where Code is silent.	Used to recognise jurisdiction to set aside fraudulent decrees.
Sharda v. Dharmpal (2003) 4 SCC 493	Courts may invoke inherent powers to elicit truth.	Reinforces availability of Section 151 CPC jurisdiction.
Dwarka Prasad Agarwal v. B.D. Agarwal (2003) 6 SCC 230	Orders without jurisdiction or based on unlawful compromise are nullities.	Analogous reasoning for invalidating consent order affecting third-party rights.
Rajesh D. Darbar v. Narasingrao Kulkarni (2003) 7 SCC 219	Maxim “actus curiae neminem gravabit”; courts must not harm parties through their acts.	Applied to protect auction purchaser from prejudice caused by court orders.
Raj Kumar Dey v. Tarapada Dey (1987) 4 SCC 398; Gursharan Singh v. NDMC (1996) 2 SCC 459; Mohd. Gazi v. State of M.P. (2000) 4 SCC 342	Authoritative illustrations of the same equitable maxim.	Referenced through Rajesh D. Darbar to bolster equitable relief.

Court's Reasoning and Analysis

The Supreme Court reiterated that *fraud* vitiates all judicial acts and that courts possess inherent jurisdiction under Section 151 CPC to recall or annul orders obtained by deceit. It found that:

- The 1979 partition preliminary decree, foundation of the sisters’ claim, was alleged to be collusive because the mortgagor’s father died in 1944, pre-Hindu Succession Act, leaving no share for daughters. The partition court had accepted this plea; the High Court reversed without addressing the core allegation of *fraud* .
- Principles of res judicata do not apply where a decree is tainted by *fraud* ; hence the High Court erred in treating earlier orders as conclusive.
- The consent order (22-5-1998) in the bank’s first appeal was passed behind the auction purchaser’s back and ignored the confirmed sale; a third-party right cannot be defeated by consent of others.

- The High Court, when seized of the review petition, was obliged to examine whether suppression of the auction sale constituted *fraud* and whether equities required protection of the purchaser. Its summary dismissal therefore amounted to a failure to exercise jurisdiction.
- Equitable maxims—particularly “*actus curiae neminem gravabit*”—mandate that the appellant should not suffer for errors of the court. The bank, having appropriated sale proceeds and later the decretal amount, must not be unjustly enriched at the purchaser’s expense.

On these premises, the Supreme Court concluded that both impugned High Court orders rested on proceedings infected by *fraud* or passed without due consideration of inherent powers and equitable principles.

Holding and Implications

ALLOWED – The Supreme Court set aside the High Court’s orders dated 10-12-1998 (in CR No. 1520 of 1997) and 10-5-1999 (in Civil Review No. 245 of 1998) and remitted the matters to the High Court for fresh adjudication consistent with the above observations.

Implications: The decision reaffirms that any decree or order obtained by *fraud* is a nullity and that courts have inherent power to recall such orders notwithstanding finality doctrines. It safeguards third-party rights acquired through confirmed judicial sales and underscores the equitable obligation that court actions should not prejudice innocent parties. No new statutory rule is laid down, but the judgment strengthens the jurisprudence on *fraud* and inherent jurisdiction.

JUDGMENT

S.B Sinha, J.— Leave granted.

2. Effect of *fraud* on court is the primal question involved in these appeals which arise out of judgments and orders dated 10-12-1998 passed in CR No. 1520 of 1997 and dated 10-5-1999 passed in Civil Review No. 245 of 1998 by the High Court of Judicature at Patna.

3. Respondent 2 herein Arun Prakash Pandey (hereinafter called as “the mortgagor”) had taken loan from State Bank of India, wherefor lands were mortgaged in favour of the Bank. He became a defaulter in the matter of repayment of loan. The Bank filed a suit claiming a sum of Rs 1,15,312.62 with pendente lite and future interest as also for a preliminary decree as regards the mortgaged property admeasuring 95.20 acres. In the said suit, the sisters of the mortgagor were claiming 6 annas' shares in the suit properties purporting to rely on or on the basis of a preliminary decree passed in a partition suit dated 19-7-1979 filed by Respondent 1 in relation to the said mortgaged land. A preliminary decree in favour of the Bank for the aforementioned amount with pendente lite and future interest @ 6% p.a was passed. A preliminary decree of sale of 10 annas' shares of the

mortgagor was also passed by the learned Vth Additional Sub- Judge on or about 22-6-1981 whereafter a final decree for sale of the mortgaged property was passed on 4-8-1982 in Suit No. 88/9 of 1977-80.

4. A first appeal was preferred thereagainst by the respondents herein and by an order dated 22-5-1998 a Single Judge directed that the decretal amount be paid in two instalments. Allegedly, the said direction had not been complied in letter and spirit. However, on an execution application filed by the Bank, 30 acres out of the total area of 57.12 acres of land was put on auction-sale on or about 7-6-1988 wherein the petitioner became the highest bidder upon offering a sum of Rs 1,61,598.53 therefor. The said auction-sale had been confirmed by the executing court on 7-7-1988 pursuant where to, the appellant deposited the amount. The brother of the mortgagor, thereafter, filed an objection in the said execution case purported to be in terms of **Section 47 of the Code of Civil Procedure** for setting aside the auction-sale which was marked as Misc. Civil Case No. 11 of 1988. The said application was dismissed by judgment dated 27-8-1988 inter alia on the ground that keeping in view the extent of land inherited by the parties from their father, being 95.20 acres, 60 acres of land belonged to the mortgagor, out of which only 30 acres had been auctioned. The appellant herein in terms of the order passed on or about 11-12-1990 took delivery of possession of the auctioned land. Questioning the judgment and order dated 27-8-1988, the respondents filed a revision petition application before the High Court in the year 1990 marked as Revision Petition No. 1700 of 1990. The auction-sale was set aside by reason of the judgment dated 21-5-1992 by the High Court inter alia directing that the following remedy be taken recourse to by the appellant:

“(a) to seek a partition by filing a separate suit for carving out a separate area from the share of Arun Prakash Pandey, or

(b) to file an application in the aforesaid partition suit for including the area purchased by him in the takhta of Arun Prakash Pandey.”

5. The appellant filed a special leave petition thereagainst which was marked as SLP (C) No. 8119 of 1992 before this Court which was disposed of by an order dated 25-6-1992 stating:

“The learned counsel for the petitioner withdraws this petition to cash upon the order impugned against. Special leave petition is disposed of as withdrawn.”

6. The appellant contends that upon obtaining possession, he made the land cultivable wherefor he had spent a sum of about Rs 2 lakhs.

7. The appellant herein, however, filed a title suit being No. 4 of 1994 inter alia for setting aside the decree passed in Partition Suit No. 17 of 1976 as also for setting aside the order in CR No. 1700 of 1990.

8. The appellant herein also filed an application in the said Partition Suit No. 17 of 1976 inter alia on the ground that the preliminary decree dated 19-7-1979 was a collusive and

fraudulent one and the final decree proceeding initiated on the basis thereof is null and void, inter alia on the ground that Ugam Prakash Pandey, the father of the mortgagor having died in the year 1944, the mortgagor alone succeeded to the properties and not his sisters as the Hindu Succession Act, 1956 did not come into force thence. In support of the said contention the appellant filed various documents. The said application was allowed holding:

“(a) Ugam Pandey died in the year 1944 when the Hindu Succession Act, 1956 had not come into force.

(b) The documents prove that the plaintiff Smt Savitri Devi had no interest in the suit property and that the preliminary decree prepared in the partition suit is fraudulent, collusive and void obtained in collusion with Arun Prakash Pandey by suppressing the death of Ugam Pandey in the plaint and in her evidence by playing *fraud* .

(c) The final decree proceeding initiated by the plaintiff on the basis of preliminary decree is collusive and a nullity and therefore the final decree proceeding is dropped.”

9. A civil revision application was filed thereagainst which has been allowed by the High Court. SLP (Civil) No. 6535 of 1999 arises out of the said order.

10. The appellant furthermore filed a civil review application being No. 245 of 1998 for reviewing the order dated 22-5-1988 passed in First Appeal No. 450 of 1981 whereby and whereunder the High Court of Patna modified the judgment and preliminary decree dated 22-6-1981 by directing that the decretal amount be paid in two instalments inter alia on the ground that the fact relating to the sale of the mortgaged property in favour of the petitioner has not been brought to its notice. The said civil review application was dismissed by a learned Judge on 10-5-1999. SLP (Civil) No. 20273 of 2000 arises out of the said order.

11. Dr G.C Bharuka, the learned Senior Counsel appearing on behalf of the appellant, inter alia would submit that the respondents, having obtained a decree by practising *fraud* on the court, cannot be allowed to take the benefit thereof. Having regard to the fact that the father of the mortgagor died in the year 1944, the learned counsel would urge, the question of his sisters becoming his co-sharers did not arise as the Hindu Succession Act, 1956 did not come into force. The learned counsel would submit that although an appeal was preferred from the preliminary decree passed in favour of the Bank, no stay having been granted, the property could be put on auction and even if there were certain mistakes on the part of the court, the appellant cannot suffer therefor. The judgment and order dated 27-8-1988 setting aside the auction-sale at the instance of the sisters, the learned counsel would contend, must, therefore, be held to be illegal.

12. It was further submitted that the High Court committed a manifest error in modifying their judgment and order dated 22-6-1981 by passing the judgment dated 22-5-1998 in First Appeal No. 450 of 1981 by directing that the decretal amount payable to the Bank be

paid in two instalments without taking into consideration the effect and purport of the sale of the mortgaged properties in court auction.

13. The learned counsel would submit that such an order could not have been passed on concession of the parties as the properties having been sold on auction, the appellant derived a right in relation thereto. In any event, the learned counsel would contend, as the parties have taken recourse to suppression of the aforementioned facts, the consent decree was a nullity and in that view of the matter the High Court should have reviewed its earlier order.

14. Mr Ram Lal Roy, the learned counsel appearing on behalf of the respondents, on the other hand, would urge that the appellant herein having not questioned the judgment and decree passed in the first appeal, these appeals should not be entertained. Mr Roy would submit that having regard to the fact that the auction-sale was set aside as far back as on 21-5-1992 and the special leave petition filed thereagainst having been dismissed by the Court, the review application was not maintainable. In any event, the learned counsel would contend that as pursuant to and in furtherance of the consent order passed in the first appeal, the respondents have already deposited the amount, this Court in exercise of its equitable jurisdiction should not interfere with the impugned orders.

15. Commission of *fraud* on court and suppression of material facts are the core issues involved in these matters. *Fraud* as is well known vitiates every solemn act. *Fraud* and justice never dwell together.

16. *Fraud* is a conduct either by letter or words, which induces the other person or authority to take a definite determinative stand as a response to the conduct of the former either by word or letter.

17. It is also well settled that misrepresentation itself amounts to *fraud*. Indeed, innocent misrepresentation may also give reason to claim relief against *fraud*.

18. A fraudulent misrepresentation is called deceit and consists in leading a man into damage by wilfully or recklessly causing him to believe and act on falsehood. It is a *fraud* in law if a party makes representations which he knows to be false, and injury ensues therefrom although the motive from which the representations proceeded may not have been bad.

19. In *Derry v. Peek* (1889) 14 AC 337, (1886-90) All ER Rep 1 it was held:

In an action of deceit the plaintiff must prove actual *fraud*. *Fraud* is proved when it is shown that a false representation has been made knowingly, or without belief in its truth, or recklessly, without caring whether it be true or false.

A false statement, made through carelessness and without reasonable ground for believing it to be true, may be evidence of *fraud* but does not necessarily amount to *fraud*. Such a statement, if made in the honest belief that it is true, is not fraudulent and does not render the person making it liable to an action of deceit.

20. In Kerr on *Fraud* and Mistake, at p. 23, it is stated:

“The true and only sound principle to be derived from the cases represented by *Slim v. Croucher* (1860) 1 De GF & J 518 is this: that a representation is fraudulent not only when the person making it knows it to be false, but also when, as Jessel, M.R, pointed out, he ought to have known, or must be taken to have known, that it was false. This is a sound and intelligible principle, and is, moreover, not inconsistent with *Derry v. Peek*. A false statement which a person ought to have known was false, and which he must therefore be taken to have known was false, cannot be said to be honestly believed in. ‘A consideration of the grounds of belief’, said Lord Herschell, ‘is no doubt an important aid in ascertaining whether the belief was really entertained. A man's mere assertion that he believed the statement he made to be true is not accepted as conclusive proof that he did so.’ ”

21. In Bigelow on Fraudulent Conveyances, at p. 1, it is stated:

“If on the facts the average man would have intended wrong, that is enough.”

It was further opined:

“This conception of *fraud* (and since it is not the writer's, he may speak of it without diffidence), steadily kept in view, will render the administration of the law less difficult, or rather will make its administration more effective. Further, not to enlarge upon the last matter, it will do away with much of the prevalent confusion in regard to ‘moral’ *fraud*, a confusion which, in addition to other things, often causes lawyers to take refuge behind such convenient and indeed useful but often obscure language as ‘*fraud* upon the law’. What is *fraud* upon the law? *Fraud* can be committed only against a being capable of rights, and ‘*fraud* upon the law’ darkens counsel. What is really aimed at in most cases by this obscure contrast between moral *fraud* and *fraud* upon the law, is a contrast between *fraud* in the individual's intention to commit the wrong and *fraud* as seen in the obvious tendency of the act in question.”

22. Recently this Court by an order dated 3-9-2003 in *Ram Preeti Yadav v. U.P Board of High School & Intermediate Education* [\(2003\) 8 SCC 311](#), JT 2003 Supp (1) SC 25 held:

“13. *Fraud* is a conduct either by letter or words, which induces the other person or authority to take a definite determinative stand as a response to the conduct of the former either by words or letter. Although negligence is not *fraud* but it can be evidence on *fraud*. (See *Derry v. Peek*.)

14. In *Lazarus Estates Ltd. v. Beasley* (1956) 1 All ER 341, (1956) 2 WLR 502, (1956) 1 QB 702 (CA) the Court of Appeal stated the law thus: (All ER p. 345 C-D)

‘I cannot accede to this argument for a moment. No court in this land will allow a person to keep an advantage which he has obtained by *fraud* . No judgment of a court, no order of a minister, can be allowed to stand if it has been obtained by *fraud* . *Fraud* unravels everything. The court is careful not to find *fraud* unless it is distinctly pleaded and proved; but once it is proved it vitiates judgments, contracts and all transactions whatsoever;’

15. In *S.P Chengalvaraya Naidu v. Jagannath* [\(1994\) 1 SCC 1](#) this Court stated that *fraud* avoids all judicial acts, ecclesiastical or temporal.”

23. An act of *fraud* on court is always viewed seriously. A collusion or conspiracy with a view to deprive the rights of the others in relation to a property would render the transaction void ab initio. *Fraud* and deception are synonymous.

24. In *Arlidge & Parry on Fraud* , it is stated at p. 21:

“Indeed, the word sometimes appears to be virtually synonymous with ‘deception’, as in the offence (now repealed) of obtaining credit by *fraud* . It is true that in this context ‘*fraud* ’ included certain kinds of conduct which did not amount to false pretences, since the definition referred to an obtaining of credit ‘under false pretences, or by means of any other *fraud* ’. In *Jones*, for example, a man who ordered a meal without pointing out that he had no money was held to be guilty of obtaining credit by *fraud* but not of obtaining the meal by false pretences: his conduct, though fraudulent, did not amount to a false pretence. Similarly, it has been suggested that a charge of conspiracy to defraud may be used where a ‘false front’ has been presented to the public (e.g a business appears to be reputable and creditworthy when in fact it is neither) but there has been nothing so concrete as a false pretence. However, the concept of deception (as defined in the **Theft Act, 1968**) is broader than that of a false pretence in that (inter alia) it includes a misrepresentation as to the defendant's intentions; both *Jones* and the ‘false front’ could now be treated as cases of obtaining property by deception.”

25. Although in a given case a deception may not amount to *fraud* , *fraud* is anathema to all equitable principles and any affair tainted with *fraud* cannot be perpetuated or saved by the application of any equitable doctrine including *res judicata*.

26. In *Shrisht Dhawan v. Shaw Bros.* [\(1992\) 1 SCC 534](#), AIR 1992 SC 1555 it has been held that:

“20. *Fraud* and collusion vitiate even the most solemn proceedings in any civilized system of jurisprudence. It is a concept descriptive of human conduct.”

27. In *S.P Chengalvaraya Naidu v. Jagannath* (1956) 1 All ER 341, (1956) 2 WLR 502, (1956) 1 QB 702 (CA) this Court in no uncertain terms observed:

“The principle of ‘finality of litigation’ cannot be pressed to the extent of such an absurdity that it becomes an engine of *fraud* in the hands of dishonest litigants. The courts of law are meant for imparting justice between the parties. One who comes to the court, must come with clean hands. We are constrained to say that more often than not, process of the court is being abused. Property- grabbers, tax- evaders, bank- loan- dodgers and other unscrupulous persons from all walks of life find the court process a convenient lever to retain the illegal gains indefinitely. We have no hesitation to say that a person, whose case is based on falsehood, has no right to approach the court. He can be summarily thrown out at any stage of the litigation.

A *fraud* is an act of deliberate deception with the design of securing something by taking unfair advantage of another. It is a deception in order to gain by another's loss. It is a cheating intended to get an advantage. ... A litigant, who approaches the court, is bound to produce all the documents executed by him which are relevant to the litigation. If he withholds a vital document in order to gain advantage on the other side then he would be guilty of playing *fraud* on the court as well as on the opposite party.”

28. In *Indian Bank v. Satyam Fibres (India) (P) Ltd.* [\(1996\) 5 SCC 550](#) this Court after referring to *Lazarus Estates* [\(2003\) 8 SCC 311](#), JT 2003 Supp (1) SC 25 and other cases observed that since *fraud* affects the solemnity, regularity and orderliness of the proceedings of the court it also amounts to an abuse of the process of the court, that the courts have inherent power to set aside an order obtained by practising *fraud* upon the court, and that where the court is misled by a party or the court itself commits a mistake which prejudices a party, the court has the inherent power to recall its order. It was further held:

“22. The judiciary in India also possesses inherent power, specially under Section 151 CPC, to recall its judgment or order if it is obtained by *fraud* on court. In the case of *fraud* on a party to the suit or proceedings, the court may direct the affected party to file a separate suit for setting aside the decree obtained by *fraud* . Inherent powers are powers which are resident in all courts, especially of superior jurisdiction. These powers spring not from legislation but from the nature and the constitution of the tribunals or courts themselves so as to enable them to maintain their dignity, secure obedience to its process and rules, protect its officers from indignity and wrong and to punish unseemly behaviour. This power is necessary for the orderly administration of the court's business.”

29. In *Chittaranjan Das v. Durgapore Project Ltd.* (1995) 99 CWN 897, [\(1995\) 2 Cal LJ 388](#) it has been held: (Cal LJ p. 402, paras 57-58)

“57. Suppression of a material document which affects the condition of service of the petitioner, would amount to *fraud* in such matters. Even the principles of natural justice are not required to be complied with in such a situation.

58. It is now well known that a *fraud* vitiates all solemn acts. Thus, even if the date of birth of the petitioner had been recorded in the service returns on the basis of the certificate produced by the petitioner, the same is not sacrosanct nor the respondent company would be bound thereby.”

30. Keeping in view the aforementioned principles, the questions raised in these appeals are required to be considered. The High Court observed that the application of intervention filed by the appellant purported to be under Order 26 Rules 13 and 14(2) and Order 20 Rule 18 was not maintainable as they do not confer any power to the court for setting aside a preliminary decree on the ground that it was obtained by practising *fraud*. But once the principles aforementioned are to be given effect to, indisputably the court must be held to have inherent jurisdiction in relation thereto.

31. In *Manohar Lal Chopra v. Rai Bahadur Rao Raja Seth Hiralal* [AIR 1962 SC 527](#), 1963 All LJ 169 the law is stated in the following terms: (AIR p. 537, para 43)

“43. **The Code of Civil Procedure** is undoubtedly not exhaustive: it does not lay down rules for guidance in respect of all situations nor does it seek to provide rules for decision of all conceivable cases which may arise. The civil courts are authorized to pass such orders as may be necessary for the ends of justice, or to prevent abuse of the process of court, but where an express provision is made to meet a particular situation the Code must be observed, and departure therefrom is not permissible.”

32. In *Sharda v. Dharmpal* [\(2003\) 4 SCC 493](#) a three-Judge Bench, of which both of us were parties, held that directing a person to undergo a medical test by a Matrimonial Court is implicit by stating:

“52. Even otherwise the court may issue an appropriate direction so as to satisfy itself as to whether apart from treatment he requires adequate protection inter alia by way of legal aid so that he may not be subject to an unjust order because of his incapacity. Keeping in view of the fact that in a case of mental illness the court has adequate power to examine the party or get him examined by a qualified doctor, we are of the opinion that in an appropriate case the court may take recourse to such a procedure even at the instance of the party to the lis.

53. Furthermore, the court must be held to have the requisite power even under **Section 151 of the Code of Civil Procedure** to issue such direction either suo motu or otherwise which, according to him, would lead to the truth.”

33. Once it is held that a judgment and decree has been obtained by practising *fraud* on the court, it is trite that the principles of *res judicata* shall not apply. The High Court, therefore, in our opinion committed a serious error in referring to the earlier orders passed by it so as to shut the doors of justice on the face of the appellant for all times to come. We, therefore, are of the opinion that the impugned judgment dated 10-12-1998 cannot be sustained.

34. So far as the order dated 10-5-1999 passed in Civil Review No. 245 of 1998 is concerned, suffice it to say that the High Court should have considered the question as to whether the right of the auction-purchaser could have been set at naught by reason of a consent order passed in his absence. The appellant was not a party in the first appeal. He was also not a party to the compromise.

35. The consent order, as is well known, is an agreement between the parties with the seal of the court superadded to it. The appellant herein in the review application categorically stated that the parties to the appeal had suppressed the auction-sale as also the confirmation thereof. The effect of the events appearing subsequent to the filing of the first appeal resulting in creation of a third-party right was bound to be taken into consideration by the High Court. A third-party right cannot be set at naught by consent. The High Court, therefore, was required to consider the contention of the appellant in its proper perspective. The High Court, in our opinion, was obligated to address itself on these questions for the purpose of reviewing its order.

36. In *Dwarka Prasad Agarwal v. B.D Agarwal* ([2003 6 SCC 230](#)) it was observed:

“31. Several issues of grave importance were required to be addressed by the High Court. The High Court sought to take a short cut in holding that the said compromise was not binding upon Dwarka Prasad Agarwal and thereby no writ was issued. The consequence of recording of the said compromise was telltale. Not only pursuant thereto or in furtherance thereof the Registrar of Newspapers, New Delhi, passed an order dated 3-9-1992; it was construed to be a judgment of the High Court which had been taken aid of by the respondents herein for the purpose of withdrawal of suits wherein various disputed questions of facts and law including the genuineness or otherwise of the agreements were in question and required adjudication. The High Court was also required to address itself, more so while disposing of the review application, as to whether the purported settlement on the grounds raised by the appellants herein, was a lawful one. Without any application of mind, the High Court proceeded to hold that the agreement was lawful. It did not pose unto itself the right question so as to enable itself to arrive at a finding of fact resulting in correct answer thereto and, thus, the same would amount to a misdirection in law.”

It was further observed:

“37. It is now well settled that an order passed by a court without jurisdiction is a nullity.

Any order passed or action taken pursuant thereto or in furtherance thereof would also be nullities. In the instant case, as the High Court did not have any jurisdiction to record the compromise for the reasons stated hereinbefore and in particular as no writ was required to be issued having regard to the fact that public law remedy could not have been resorted to, the impugned orders must be held to be illegal and without jurisdiction and are liable to be set aside. All orders and actions taken pursuant to or in furtherance thereof must also be declared wholly illegal and without jurisdiction and consequently are liable to be set aside. They are declared as such.”

37. It will bear repetition to state that any order obtained by practising *fraud* on court is also non est in the eye of the law.

38. It is true that pursuant to or in furtherance of the consent order, the respondents had deposited the amount and State Bank of India has appropriated the same. The legal issues as regards the effect of commission of *fraud* on court vis-à-vis the conduct of the parties are still at large. The High Court was, therefore, required to adjust the equities between the parties. The Bank cannot also unjustly enrich itself insofar as, while enforcing a preliminary decree of mortgage, it also cannot take recourse to recover the decretal amount from the judgment-debtors at the expense of the auction-purchaser.

39. In such an event also, the Court may have to find out a remedy which would be just and equitable.

40. The High Court furthermore failed to notice the principle “actus curiae neminem gravabit”.

41. In *Rajesh D. Darbar v. Narasingrao Krishnaji Kulkarni* ([\(2003\) 7 SCC 219](#)), JT (2003) 7 SC 209 this Court noticed:

“The courts can take notice of the subsequent events and can mould the relief accordingly. But there is a rider to these well-established principles. This can be done only in exceptional circumstances, some of which have been highlighted above. This equitable principle cannot, however, stand in the way of the court adjudicating the rights already vested by a statute. This well-settled position need not detain us, when the second point urged by the appellants is focused. There can be no quarrel with the proposition as noted by the High Court that a party cannot be made to suffer on account of an act of the court. There is a well-recognised maxim of equity, namely, *actus curiae neminem gravabit* which means an act of the court shall prejudice no man. This maxim is founded upon justice and good sense which serves a safe and certain guide for the administration of law. The other maxim is, *lex non cogit ad impossibilia* i.e the law does not compel a man to do that what he cannot possibly perform. The applicability of the abovesaid maxims has been approved by this Court in *Raj Kumar Dey v. Tarapada Dey* ([\(1987\) 4 SCC 398](#)), *Gursharan Singh v.*

New Delhi Municipal Committee [\(1996\) 2 SCC 459](#) and [Mohd. Gazi v. State of M.P \(2000\) 4 SCC 342](#)”

42. For the reasons aforementioned, we are of the opinion that the impugned judgments cannot be sustained which are set aside accordingly. The matters may now be considered afresh by the High Court in the light of the observations made hereinbefore. These appeals are allowed. No costs.